BANWO & IGHODALO

Bridging the ESG Finance Gap

DEMAND AND SUPPLY-SIDE CONSTRAINTS FACING NIGERIAN SMALL AND MEDIUM-SIZED ENTERPRISES (SMES)

BANWO & IGHODALO

REPORT OVERVIEW

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"This paper – the first in a three-part series – provides a comprehensive analysis of both supply-side and demand-side opportunities and challenges facing Nigerian SMEs in their pursuit of sustainability-linked capital."

FOUNDATIONAL CONTEXT

1.0 Introduction & 2.0 ESG Financing

1.0 INTRODUCTION

The Environmental, Social, and Governance ("ESG") framework is an investment lens employed to evaluate how a company manages both the risks and the opportunities related to its sustainability and ethical impact. It has evolved into a crucial method for assessing long-term value creation that extends beyond conventional financial metrics. The three core components are defined as follows: The Environmental (E) criteria gauge a company's performance as a steward of the natural world, with key factors including its climate change strategy, the management of carbon emissions, efficiency in resource use like water and land, waste reduction, and the protection of biodiversity. The Social (S) criteria focus on how a company manages its relationships with stakeholders, encompassing issues like labour standards, health and safety, diversity and inclusion policies, adherence to human rights across the supply chain, and effective community engagement. Finally, the Governance (G) criteria examine the structures of a company's leadership and operation, involving board composition and independence, transparency in executive compensation and audits, the protection of shareholder rights, and the implementation of robust anti-corruption and ethical conduct policies.

2.0 ESG FINANCING

The growing importance of ESG and ESG Finance is rooted in two significant global trends: (i) its role in strengthening corporate resilience and (ii) a fundamental shift in capital allocation. ESG factors directly influence a business's long-term operational and financial stability. Ignoring environmental or social risks, such as the physical and transition risks from climate change or poor labour practices that lead to reputational damage, can result in substantial financial losses, regulatory fines, and operational disruptions. By integrating ESG principles, companies are better positioned to anticipate and mitigate these non-financial risks.

A comprehensive review of academic literature found a positive correlation between strong ESG performance and financial outcomes, noting that companies with higher ESG scores often exhibit lower costs of capital and better operational performance, especially during periods of crisis, which is mediated by factors like improved risk management and greater innovation. ESG Finance, which involves integrating these non-financial criteria into investment and lending decisions, is crucial for achieving global sustainability targets, such as the Paris Agreement and the UN Sustainable Development Goals (SDGs). This shift is propelled by increasing investor demand, global regulatory mandates, and the need to finance the transition to a green economy. Investors are re-channelling trillions of dollars toward businesses demonstrating credible sustainability performance.

CAPITAL FLOW & RESILIENCE

2.0 ESG Financing (Cont.)

Initiatives like the Nigerian Sustainable Banking Principles (NSBP), which mandate financial institutions to embed ESG into their risk management and lending processes, and the issuance of green bonds by the Nigerian government and private sector, are key facilitators of this capital flow. For instance, the Nigeria Green Bond Market Development Programme (NGBMDP) recently announced the launch of a Sustainable Finance Bootcamp aimed at empowering Nigerian SMEs and startups to unlock sustainable funding by deepening their capacity in ESG project structuring, investor-grade frameworks, and financing strategies. By embracing ESG, SMEs can improve their resilience against local climate risks, like flooding, and unlock new funding opportunities, often in the form of sustainability-linked loans, which may offer favourable terms for meeting specific impact targets.

ECONOMIC ANALYSIS

3.0 SMEs' Need For Capital

Small and Medium-sized Enterprises (SMEs) form the backbone of economies globally: driving inclusive growth, job creation, poverty reduction, and innovation. Worldwide, SMEs make up around 90% of businesses and contribute over 50% of global GDP. The impact is even more pronounced in Africa, where they represent over 90% of all businesses and provide nearly 80% of total employment. In Nigeria, while SMEs account for 96% of all businesses and employ about half of the country's workforce, they only contribute 48% to the national GDP.

As a dominant force in Nigeria's economy, SMEs collectively wield significant influence over ESG outcomes through their cumulative operations, workforce practices, and governance structures. While individual SMEs have modest footprints, their aggregate impact is substantial. On the environmental front, their collective carbon emissions, resource consumption, and waste generation are significant contributors to Nigeria's overall environmental footprint. Socially, SME practices directly affect millions of workers and communities: for instance, Nigeria's recent minimum wage increase from ₦30,000 to ₦70,000 is yet to be widely adopted and remains largely unadopted by SMEs due to affordability concerns and weak enforcement. Structured corporate social responsibility initiatives are largely absent, as most SMEs focus almost exclusively on profitability and scaling. From a governance perspective, many SMEs operate informally or semi-formally, with limited internal structures to support decision-making, financial transparency, accountability, or regulatory compliance. This weak governance framework often leads to mismanagement and business fragility. Given that SMEs account for the majority of employment in Nigeria, such failures contribute significantly to rising unemployment and economic instability.

3.0 SMEs' Need For Capital (Cont.)

Consequently, while SMEs as a collective are well-positioned to shape ESG outcomes, it must be said that SMEs in Nigeria have, thus far, not positively shaped ESG outcomes. Nigerian SMEs continue to face structural barriers to growth, particularly limited access to finance. According to PwC's 2023 MSME Survey, 69% of SMEs had not received any government grants in the preceding 24 months, with many citing bottlenecks as key obstacles. Beyond government support, SMEs face significant challenges accessing formal credit facilities, with many expressing low trust in the formal banking system as a primary barrier to financing. These findings echo the World Bank's Doing Business report, which ranked Nigeria 131st out of 190 economies in terms of ease of starting a business.

An overview of these barriers, divided for ease of reference into demand-side barriers and supply-side barriers, is set out below:

DEMAND-SIDE CHALLENGES (SMES)	SUPPLY-SIDE CHALLENGES (FINANCIAL INSTITUTIONS)
Lack of ESG-related data/metrics	Frameworks designed for large corporates
No clear/applicable ESG standards	Do not consider SME-specific constraints
Limited knowledge/capacity for ESG integration	Too complex, rigid, or inaccessible products
Few technical resources for ESG reporting	Dependence on reliable data, SMEs lack

This paper – the first in a three-part series – provides a comprehensive analysis of both supply-side and demand-side opportunities and challenges facing Nigerian SMEs in their pursuit of sustainability-linked capital. It seeks to highlight the disconnect between financier expectations and SME realities, and to propose actionable recommendations to strengthen SME access to sustainable finance. Part Two will examine proposed regulatory and institutional reforms, while Part Three will set out a practical implementation framework for Nigerian SMEs seeking to integrate ESG into their operations and financing strategies.

4.0 Demand Side

Despite the expanding pool of sustainability-linked capital, Nigerian SMEs remain largely excluded from accessing it, due to persistent demand-side constraints. As global and domestic capital flows increasingly prioritise ESG considerations, SMEs face growing expectations that they are often unprepared to meet. This exclusion chiefly stems from structural and institutional challenges within the SME segment itself. These demand-side barriers can be grouped into two categories: (i) Internal barriers within SMEs, such as limited ESG awareness, weak reporting capacity, and resource constraints, and (ii) External barriers across the wider ecosystem, including inadequate ESG infrastructure, insufficient incentives, and fragmented guidance frameworks.

INTERNAL BARRIERS

Internal Barriers refer to challenges that originate from within the SME organisation itself, including structural, operational, and capacity-related constraints. The major Internal Barriers creating challenges on the demand side are examined below:

LIMITED AWARENESS: Many SMEs remain unaware of ESG-linked finance and its associated reporting requirements. This knowledge gap extends to critical concepts such as ESG metrics, climate risk disclosures, and performance-based loan covenants. Globally, a 2023 survey revealed that while 83% of SMEs recognise the importance of sustainability, only 8% actually report on sustainability issues, underscoring the gap between recognition and practical integration. In the Nigerian context, “insufficient awareness” is consistently cited as a key reason for limited sustainability reporting, with many SMEs lacking the necessary knowledge and resources to track and disclose their ESG performance.

POOR REPORTING CAPACITY: Few SMEs have the systems required to track non-financial performance. A global study revealed that only about 9% of SMEs operate formal sustainability reporting programmes, largely due to constraints of time, expertise, and budget. Without baseline data on emissions, water use, waste generation, employee metrics, or governance practices, SMEs are unable to meet the minimum entry requirements for green bonds, sustainability-linked loans, or climate funds.

LIMITED STAFF AND TOOLS: Most SMEs lack in-house ESG specialists and adequate data-management tools, making the collection and verification of ESG indicators difficult. Reports indicate that the vast majority of SMEs neither employ sustainability experts nor use automated systems, which prevents them from responding effectively to lenders’ data requests.

HIGH UNCERTAINTY: SMEs also operate in highly volatile markets characterised by policy shifts and economic instability, which the OECD identifies as “one of the greatest barriers” for SMEs in pursuing green initiatives. SMEs often hesitate to invest in sustainability due to concerns about uncertain returns or future regulatory changes. A 2025 World Economic Forum (WEF) report found that 47% of manufacturing SMEs cited “policy uncertainty” as a significant barrier.

SHORT-TERM SURVIVAL FOCUS: Operating on tight margins, SMEs tend to prioritise immediate needs over long-term sustainability, often putting ESG initiatives on the back burner due to time and cash pressures. PwC’s MSME Survey 2024 in Nigeria found “inadequate access to finance” as the number one challenge for 35% of businesses, while over 50% reported falling sales due to high prices and weak consumer spending power.

4.0 Demand Side (Cont.)

EXTERNAL BARRIERS

Beyond these internal limitations, SMEs are also constrained by systemic factors within the broader ESG and financial ecosystem. These external forces lie outside the direct control of the SME yet significantly impact their ability to adopt sustainable practices and secure green financing.

WEAK ESG ECOSYSTEM: The broader support infrastructure for SMEs in the ESG space is significantly underdeveloped. Most markets lack sufficient SME-focused ESG scores, certifications, or verifiers. This leaves proactive SMEs unable to effectively "highlight their sustainability credentials" because there are no accessible, credible ratings or audit services tailored for small companies. While global assurance firms cater to large corporations, Nigerian SMEs face a "credibility gap" due to the absence of a government-endorsed or widely recognised ESG certification framework.

SPARSE INCENTIVES: Public incentives for SME "greening" remain limited and inconsistent. Surveys show that 52% of SMEs consider the lack of government policies or incentives a key obstacle to climate action, while 84% report receiving no emissions-reduction subsidies. While governments are enacting sustainable finance policies (e.g., Nigeria's Climate Change Act), a significant gap exists between high-level policy commitments and the practical, on-the-ground experience of SMEs. In Nigeria, evidence suggests that SME access to ESG-linked finance is negligible. Development initiatives have mobilised only limited funds; for instance, a UNDP-backed program identified 25 high-impact Nigerian SMEs with combined sustainable-finance needs of $175 million but mobilised just $15 million for three ventures.

FRAGMENTED INFORMATION: Guidance on sustainable finance is often scattered, leaving SMEs to navigate a confusing patchwork of standards and disclosure requirements. The OECD notes that SMEs urgently need better frameworks and tools to bridge sustainability data gaps when seeking finance. In practice, each lender or donor often demands different disclosures, creating an "information overload" paradox. A centralised, harmonised guidance system is therefore essential.

While demand-side barriers highlight the limitations within SMEs and their immediate environment, the challenges are equally pronounced on the supply side. Financial institutions, investors, and regulators often lack the tools, incentives, and frameworks to originate and scale ESG-linked finance tailored to the realities of Nigerian SMEs.

5.0 Supply Side

For SMEs, accessing sustainable finance is not only a question of demand but also of meeting the expectations of financiers. Even when SMEs demonstrate viable business models and a willingness to adopt sustainable practices, their financing prospects ultimately depend on the products, risk appetites, and compliance obligations of financial market participants ("FMPs"). To meet sustainability objectives, investors channel private capital primarily through FMPs operating in the financial services market.

In practice, this entails a financial institution ("financier") offering products funded by end-investors who allocate capital for sustainability purposes. This structure creates an agent-principal relationship: financiers act as agents of the end-investors and owe fiduciary duties to ensure that proceeds of the investment are disbursed in ways that align with stated sustainability objectives. As part of these obligations, financiers must demonstrate ESG-based investment decision-making and governance, their capacity to conduct due diligence on borrowers, and continue to make comprehensive disclosures to end-investors.

Thus, with respect to access to sustainability finance in Nigeria, the supply side expectations and associated challenges can be categorised into four: (a) securing ESG end-investors; (b) the information gap; (c) determining appropriate financial products; and (d) challenges under applicable laws.

(A) SECURING ESG END-INVESTORS: A blocker to SMEs' ability to access ESG finance in Nigeria lies in the inability to attract ESG end-investors whose sustainability objectives are flexible enough to accommodate little to no ESG metrics. Global and domestic investors rely heavily on measurable ESG metrics before committing capital. Financiers are responsible for ensuring that capital is deployed in alignment with ESG objectives as agreed with end-investors. To safeguard against greenwashing, end-investors screen financiers carefully.

(B) THE INFORMATION GAP – HEIGHTENED PERCEPTION OF SUSTAINABILITY RISKS: Nigerian SMEs face significant challenges in meeting the information expectations required under sustainability financing. Traditional credit metrics are insufficient for ESG purposes, and Nigerian SMEs generally lack a culture of sustainability reporting and compliance. This absence of verifiable ESG data complicates due diligence and heightens the perception of sustainability risks. Sustainability risks are material financial risks that directly affect credit quality, solvency, and long-term profitability. They manifest across established financial risk categories: credit, market, liquidity, operational, and reputational risks. ESG risks arise through multiple channels: Environmental risks (physical and transition), Social risks (labour relations, working conditions), Governance risks (internal controls, board independence), and Litigation risk.

5.0 Supply Side (Cont.)

(C) DETERMINING APPROPRIATE FINANCING PRODUCT: Besides the unavailability of capital, structuring the right sustainability financing deal for Nigerian SMEs presents unique difficulties. ESG-centric data scarcity leaves lenders uncertain about whether to deploy debt, equity, or blended finance products. Market risk is also elevated as end-investors increasingly apply negative screening policies based on ESG considerations. Fear of greenwashing further discourages financiers from designing innovative, context-appropriate ESG products.

(D) CHALLENGES IN APPLICABLE LAW: The Nigerian legal and regulatory environment for ESG finance remains nascent and fragmented. Notably, Section 24(1)(a) of the Climate Change Act 2021 (the "Act") requires private companies with 50+ employees to establish measures to achieve targets. By Section 24(2)(b), eligible companies are required to designate an officer who shall submit annual reports. Conversely, FMPs subject to EU laws must comply with the Sustainability Finance Disclosure Regulation (SFDR) and the Taxonomy Regulation (the "EU Disclosure Regulations"). The EU Disclosure Regulations require FMPs to publish disclosures covering the principal adverse impacts of investment decisions. The absence of a robust statutory ESG disclosure framework leaves financiers without reliable standards in Nigeria, creating a lopsided relationship.

6.0 CULTURAL SHIFT

The financial ecosystem is undergoing a structural shift towards achieving the Sustainable Development Goals. ESG considerations are now central to capital allocation, driven by international climate commitments, growing investor interest, and the rise of sustainability-linked financial instruments. This shift, however, requires all borrowers, including SMEs, to demonstrate credible sustainability credentials through robust ESG metrics, climate-related disclosures, and demonstrable alignment with social or environmental goals. Put simply, ESG Financing addresses two concerns: (a) promoting ESG practices by SMEs; and (b) providing SMEs with access to much-needed financing.

7.0 The Way Forward & 8.0 Conclusion

7.0 THE WAY FORWARD

However, Nigerian SMEs have largely been excluded from this momentum as systemic barriers continue to restrict their access. For Nigerian SMEs, accessing this expanding pool of ESG-aligned capital is vital for their survival and competitiveness. In May 2024, the Financial Reporting Council of Nigeria (FRC) issued the SME Corporate Governance Guideline (the “SME CCG”). Principle 5 deals with the control environment and requires SMEs to maintain credible books of accounts. Section F of the SME CCG deals with ESG considerations and covers principles 9-11. Principle 9 requires SMEs to be sensitive to the effect of their business on the environment and stakeholders.

Given that the SME CCG is more of a model document than a mandatory law, we believe that the best way to establish this culture among SMEs is through mandatory legislative action to create an enabling environment. As a welcome development, the September 2025 Revised Regulation on Investment of Pension Fund Assets formally requires pension fund administrators to integrate ESG factors into their investment decisions. This regulation moves ESG from a voluntary action to a mandatory consideration and will drive sustainable investments in Nigeria in the long term.

8.0 CONCLUSION

In our view, sustainability objectives can truly be achieved when the bulk of businesses with the largest carbon footprints are able to access sustainability-linked finance. Access to sustainability-linked finance sometimes means cheap capital, as some loan products are structured as blended financing and afford the borrower uniquely low pricing. On the surface, it seems as though there is little demand from the SMEs for sustainability-linked loans. However, the reality is that these SMEs are unable to meet the expectations of the investors and the FMPs.

As SMEs remain starved of capital, the full potential of sustainability financing in Nigeria remains largely untapped. Addressing the challenges identified in this paper requires coordinated efforts to improve SME ESG reporting and sustainability-aligned operations and to establish enforceable disclosure standards aligned with international best practices. Only then can sustainable finance effectively scale in Nigeria and mobilise private capital toward genuinely impactful investments.

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55 Businessday NG. (2025, January 20). ESG-A lifeline for the sustainability of Nigeria's SMEs. Retrieved from <https://businessday.ng/opinion/article/esg-a-lifeline-for-the-sustainability-of-nigerias-smes/≥ (Accessed: 14 March 2026)

56 See Paragraph 3.14 of the Regulation, which provides that PFAs/CPFAs shall incorporate ESG factors into their investment decision-making process, emphasizing governance and responsible investing, encouraging collaboration and inclusive growth and allocating long-term assets to priority sectors that promote sustainable national development or other thematic areas as designated by the National Pensions Commission. |

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